KOGAS (036460 KS)

Overseas earnings lift profit base; uncollected receivables remain an issue

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BUY (I)

Target price	W48,000 (I)
Previous target price	-
Current price (Sep 09)	W36,150
Upside potential	33%

Market cap (Wbn)	3,337
Shares outstanding	92,313,000
Avg daily T/O (2M, Wbn)	6
Avg daily volume (2M, shrs)	168,636
52-week high/low (won)	45,600 / 31,700
Foreign ownership (%)	13.19%
Dividend yield (%)	2.94%
Major shareholders	Ministry of Strategy and Finance & other

Stock performance

(%)	1M	3M	12M
Absolute	1.1	6.3	(9.3)
Relative	(10.3)	22.1	(58.1)
Abs (US$)	7.2	20.3	(5.8)

We initiate coverage on Korea Gas Corporation (KOGAS) at BUY and a target price of W48,000. The key investment point is that overseas resource development is lifting KOGAS's normalized earnings to a new level. Backed by the start of commercial production at LNG Canada and increased production at Coral FLNG, OP from overseas operations is forecast to grow by approximately 90% YoY in 2026.

The significance of this change lies not simply in higher energy prices, but in the fact that overseas assets developed through past investments have begun generating actual earnings. OP from LNG Canada came to W143.0bn in 1H26 alone, while earnings from Coral FLNG have also increased substantially since 2026. As KOGAS's earnings base expands from regulated domestic operations to overseas LNG and resource development, its earnings sustainability and growth potential have improved.

The remaining challenge is receivables. Total raw-material cost receivables (unrecovered gas procurement costs) exceeded W14tn as of end-2Q26 and continue to constrain the normalization of KOGAS's financial structure. At the same time, however, this represents potential for a future re-rating. While overseas operations lift EPS, the recovery of receivables and a reduction in debt would support a higher valuation multiple. Our target price reflects the structural improvement in overseas earnings but does not assume a rapid normalization of receivables. Further narrowing of the valuation discount would be possible once a net decline in receivables and reductions in debt and finance costs are confirmed.

Moreover, if the 12th Basic Plan for Long-Term Electricity Supply and Demand projects a more gradual decline in LNG demand for power generation, concerns over the long-term growth of the domestic wholesale business could also ease. Conversely, if impaired assets or related liabilities of Korea National Oil Corporation are transferred to KOGAS as part of the proposed integration process to establish a proposed Energy Resources Corporation, the improvement in KOGAS's financial structure could be delayed. Further details on the integration structure are needed.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	7,982	25.3	6.3	7,397	7.9
OP	359	-7.7	-46.8	439	-18.3
Pre-tax net profit	218	98.7	-55.5	177	23.4
Net profit, CI	163	87.7	-51.8	163	0.3
OPM (%)	4.5	-1.6 %pt	-4.5 %pt	5.9	-1.4 %pt
NPM (%)	2.0	+0.6 %pt	-2.5 %pt	2.2	-0.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	38,389	35,727	37,782	40,455
OP	3,003	2,101	2,404	2,201
Net profit, CI	1,147	133	1,197	950
P/E (x)	3.0	27.2	2.8	3.5
P/B (x)	0.3	0.3	0.3	0.2
EV/EBITDA (x)	8.5	9.6	8.4	8.1
ROE (%)	11.2	1.2	10.6	7.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

1. Domestic earnings normalize while overseas operations fill the gap

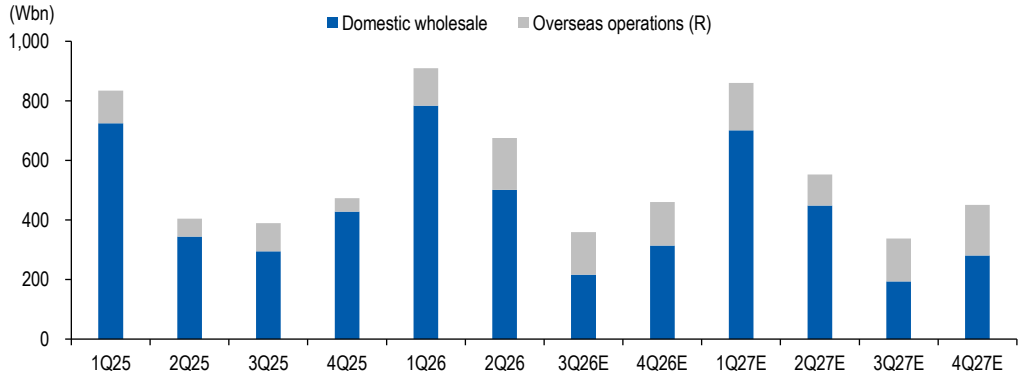
1) 3Q26 preview: overseas operations offset domestic off-season

We estimate 3Q26 consolidated revenue at W7.982tn (+25.3% YoY) and OP at W359.0bn (-7.7% YoY; OPM of 4.5%). The third quarter is a seasonal off-season, when city-gas sales decline, reducing the earnings contribution from the domestic wholesale business. We forecast OP from domestic wholesale operations at W216.3bn and OP from overseas operations at W142.7bn. Overseas operations are expected to account for approximately 40% of consolidated OP, offsetting the seasonal earnings decline in the domestic business.

The increased earnings contribution from overseas operations was already evident in 1H26. LNG Canada recorded OP of W70.7bn in 1Q26 and W72.3bn in 2Q26. Coral FLNG (Mozambique) posted OP of W58.4bn in 2Q26, supported by higher sales volume and selling prices. Gladstone LNG's (GLNG) profitability also improved substantially in 2Q26 as the proportion of third-party gas purchases declined.

Quarterly earnings from overseas operations remain sensitive to production volume, selling prices, and the timing of cargoes depending on the individual project. Nevertheless, the overall earnings base is becoming broader than in the past as contributions from newly producing assets such as LNG Canada and Coral FLNG increase.

Quarterly OP trend and forecasts



Source: Yuanta Securities

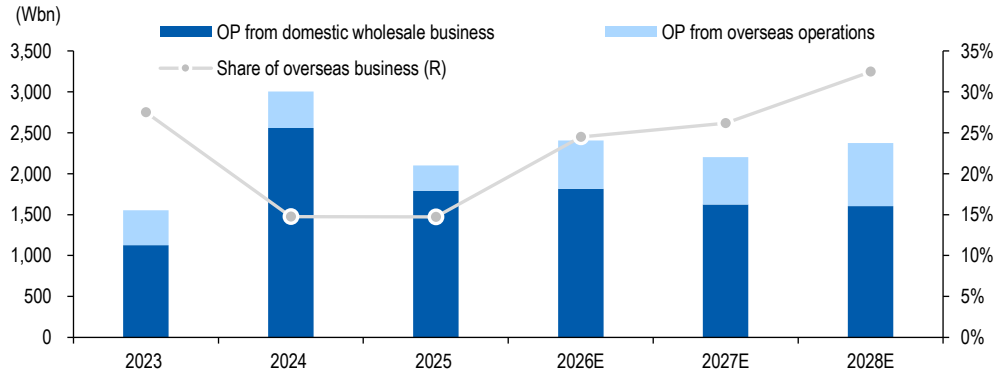
2) 2026: most earnings growth comes from overseas

We estimate 2026 consolidated sales at W37.782tn (+5.8% YoY) and OP of W2.404tn (+14.4% YoY; OPM of 6.4%). OP from the domestic wholesale business is projected at W1.815tn, broadly unchanged from W1.792tn in 2025. In contrast, OP from overseas operations is forecast to increase by 90.4%, from W309.3bn to W589.0bn, driving overall earnings growth.

The domestic wholesale business should be viewed in the context of a normalization of temporarily elevated earnings in 2026 rather than structural growth. Based on KOGAS's disclosed 2026 budget, its rate base is W21.7tn and its allowed rate of return is 5.38%, implying an allowed return on investment of approximately W1.17tn. Our domestic wholesale OP forecast of W1.82tn also reflects settlement and budget-to-actual adjustments. It would therefore be difficult to regard the entire amount as recurring normalized earnings.

In overseas operations, LNG Canada has begun making a full earnings contribution, while production at Coral FLNG is increasing. The significance of KOGAS's 2026 earnings growth lies in the fact that previously developed overseas assets are beginning to generate actual earnings, rather than in an increase in regulated domestic earnings. We view 2026 as the first year in which overseas operations evolve from a supplementary earnings source into a business that determines the direction of company-wide earnings.

Domestic/overseas OP and share of overseas operations



Source: Yuanta Securities

3) 2027: earnings capacity remains intact despite domestic normalization

For 2027, we forecast consolidated revenue at W40.455tn (+7.1% YoY) and OP at W2.201tn (-8.4% YoY; OPM of 5.4%). Although company-wide OP is expected to contract slightly YoY, this will primarily reflect the normalization of the domestic wholesale business rather than a deterioration in underlying earnings capacity.

OP from the domestic wholesale business is likely to decline as the settlement and budget-to-actual effects that boosted earnings in 2026 diminish. However, the regulated business's underlying earnings base, supported by the allowed return on investment, should remain intact. The decline in domestic earnings in 2027 should therefore be viewed largely as a return to normalized earnings.

More importantly, consolidated OP is expected to remain at around W2.2tn even as domestic earnings normalize. Continued growth in production and sales at LNG Canada and Coral FLNG, together with contributions from existing overseas projects, should offset a substantial portion of the decline in domestic settlement gains. The overseas share of consolidated OP is forecast to rise from 14.7% in 2025 to 24.5% in 2026 and 26.2% in 2027.

KOGAS: earnings forecast and major assumptions (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Major assumptions												
USD/KRW		1,462.5	1,386.8	1,395.9	1,447.3	1,466.9	1,503.0	1,435.6	1,380.0	1,420.3	1,446.4	1,402.5
Dubai ($/bbl)		77.8	65.0	71.7	64.5	86.3	96.0	81.8	69.0	69.4	83.3	70.5
JKM ($/mmbtu)		14.0	12.4	11.8	10.9	13.2	17.7	20.1	20.0	12.0	17.7	16.4
Gas sales ('000T)		11,875.0	7,020.0	6,458.0	9,160.0	12,226.0	7,232.0	6,532.4	8,998.9	34,513.0	34,989.3	34,342.6
Earnings trend and forecasts												
Sales		**12,732.7**	**7,630.1**	**6,372.2**	**8,992.4**	**11,802.2**	**7,508.0**	**7,982.0**	**10,489.8**	**35,727.3**	**37,781.9**	**40,454.7**
Domestic wholesale		12,309.0	7,191.4	5,973.5	8,544.5	11,418.4	7,150.4	7,618.4	10,055.8	34,018.4	36,243.0	38,673.4
Overseas/others		423.7	438.7	398.7	447.8	383.8	357.5	363.6	434.0	1,708.9	1,538.9	1,781.3
	Myanmar	25.0	33.5	25.4	23.6	26.2	35.2	28.0	31.0	107.5	120.4	108.6
	GLNG	253.0	242.1	201.8	240.9	213.8	205.2	215.0	247.0	937.8	881.0	721.5
	Prelude	83.0	71.1	72.3	123.0	64.8	19.7	50.0	65.0	349.4	199.5	290.0
	Zubair	155.0	158.7	145.7	169.0	157.1	54.7	80.0	99.0	628.4	390.8	494.3
	Coral FLNG	60.0	43.6	48.6	49.7	49.8	85.9	110.0	120.0	201.9	365.7	404.9
	LNG Canada	0.0	0.0	40.0	45.0	131.1	92.5	120.0	135.0	85.0	478.6	503.4
OP		**833.9**	**404.6**	**389.0**	**473.6**	**910.0**	**675.3**	**359.0**	**459.9**	**2,101.2**	**2,404.2**	**2,201.2**
OPM		**6.5%**	**5.3%**	**6.1%**	**5.3%**	**7.7%**	**9.0%**	**4.5%**	**4.4%**	**5.9%**	**6.4%**	**5.4%**
Domestic wholesale		724.2	344.4	294.9	428.3	783.4	501.4	216.3	314.2	1,791.9	1,815.3	1,625.2
Overseas/others		109.7	60.3	94.1	45.3	126.6	173.9	142.7	145.8	309.4	589.0	576.0
	Myanmar	15.6	21.2	15.5	14.4	16.1	27.0	17.4	19.2	66.7	79.7	69.8
	GLNG	9.0	2.3	-2.4	-0.5	-12.3	64.5	1.9	2.2	8.4	56.3	28.8
	Prelude	26.6	19.4	33.0	26.5	5.4	-13.8	15.1	19.6	105.5	26.3	61.5
	Zubair	29.9	18.9	13.7	6.2	28.1	-7.8	8.7	10.8	68.7	39.9	52.3
	Coral FLNG	31.4	17.7	36.1	13.4	22.3	58.4	53.7	58.6	98.6	193.0	207.4
	LNG Canada	-1.6	-1.7	9.5	-6.9	70.7	72.3	57.2	48.3	-0.7	248.5	209.1
Net profit, CI		**367.5**	**85.4**	**87.1**	**-406.9**	**548.7**	**339.1**	**163.4**	**145.5**	**133.0**	**1,196.6**	**949.9**

Note: CI = controlling interest; Source: Yuanta Securities

2. Overseas E&P raises normalized earnings to a new level

KOGAS's overseas operations have historically been associated with large-scale investments, potential impairment losses, and project-level earnings volatility. While earnings from existing producing assets, including GLNG, Prelude (FLNG project in Western Australia), Myanmar, and Iraq have fluctuated significantly depending on oil prices, production volumes, and utilization rates, contributions from new projects had remained limited. This structure is now changing. LNG Canada has entered commercial production, while production and sales at Coral FLNG are expanding, bringing these new LNG projects into a phase in which they generate actual earnings.

Importantly, the recent earnings growth is not solely dependent on higher oil or LNG prices. New earnings from LNG Canada and increased production at Coral FLNG are broadening the overseas business's earnings sources.

1) LNG Canada: an entirely new source of earnings

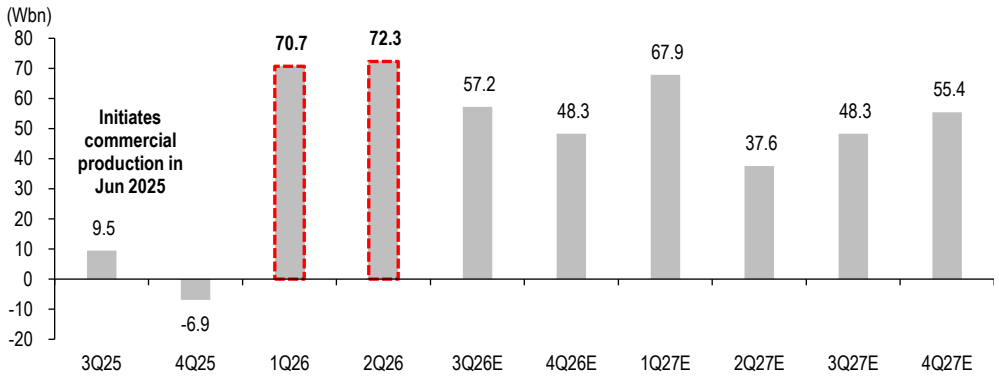
LNG Canada is the project that most clearly demonstrates the improvement in the earnings capacity of KOGAS's overseas operations. LNG Canada commenced commercial production in Jun 2025, and KOGAS holds a 5% stake in the project. From the start of commercial production through 1H26, KOGAS took delivery of 374,000 tonnes of LNG from the project.

Its earnings contribution has also increased rapidly. OP from LNG Canada came to W70.7bn in 1Q26 and W72.3bn in 2Q26, for a total 1H26 OP of W143.0bn. Its earnings contribution was minimal in 2025, when the project was still in the initial production phase. However, as production from its two LNG trains ramped up in 2026, LNG Canada began to emerge as a new earnings pillar.

LNG Canada's strength lies in its cost structure. LNG is produced using relatively inexpensive Canadian natural gas and sold in Asian markets. Accordingly, the spread between LNG selling prices and local feed-gas prices is the key determinant of profitability. Quarterly earnings may fluctuate depending on LNG prices and feed-gas costs, but the addition of earnings from a producing asset that did not exist before 2025 represents a structural change.

The key investment point is therefore that a new LNG asset operating year-round has been added to the overseas business's earnings base from 2026. As stable operations are confirmed, LNG Canada is expected to establish itself as a major earnings contributor to the overseas business.

LNG Canada: quarterly OP trend and forecasts



Source: Yuanta Securities

2) Coral FLNG: production ramp-up creates 2nd growth pillar

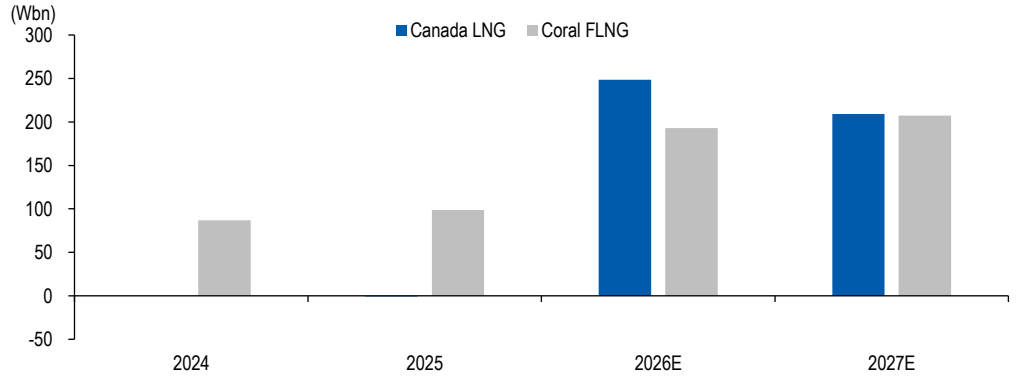
Coral FLNG is another key project lifting the normalized earnings of KOGAS's overseas operations. KOGAS holds a 10% stake in Mozambique Area 4. Coral FLNG produces and liquefies natural gas offshore from the gas field and sells the resulting LNG.

We estimate that OP from Coral FLNG will rise from W98.6bn in 2025 to W193.0bn in 2026 and W207.4bn in 2027. In 2Q26, OP came to W58.4bn thanks to higher sales volume and selling prices.

Unlike LNG Canada, Coral FLNG's key advantage is its structure, under which production is expanded based on its own gas reserves. The need to externally procure large volumes of feed gas is relatively limited, which means that increased production directly translates into increased LNG sales volume. Accordingly, we believe the project can maintain a certain level of underlying earnings despite price fluctuations, provided that production remains stable.

OP from Coral FLNG, which remained at around W100bn through 2025, is expected to exceed W200bn from 2027, establishing the project as a new growth pillar for the overseas business alongside LNG Canada.

Canada LNG & Coral FLNG: OP trend and forecasts



Source: Yuanta Securities

3) New LNG assets to cushion volatility in existing projects

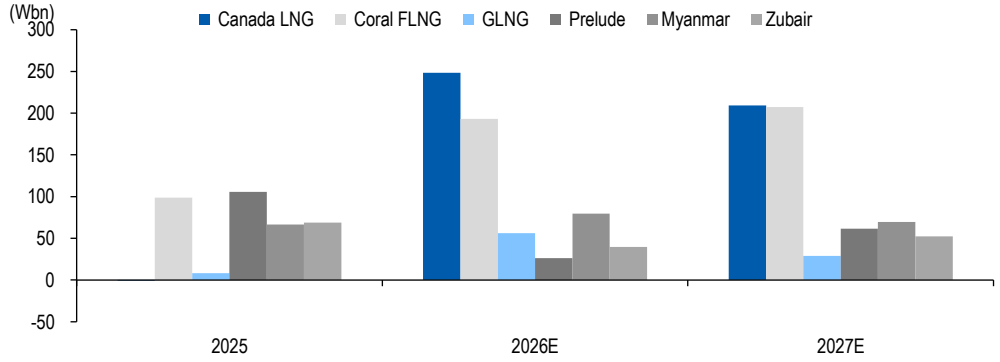
The company's overseas businesses cannot be viewed merely as beneficiaries of rising oil prices, given their diverging profit models. For GLNG, not only LNG selling prices but also third-party feedstock gas procurement matters, while Prelude's earnings fluctuate based on the prices of LNG, LPG, and condensate, as well as facility utilization, and the number of cargoes shipped. For Myanmar, production volume and gas sales are crucial, while Zubair's performance depends on crude oil output and remuneration fees under the technical service contract (TSC).

In fact, GLNG suffered worsening margins when the proportion of third-party gas procurement increased, but in 2Q26, margin improved as the portion fell. Prelude also experiences substantial quarterly earnings volatility depending on maintenance schedules and facility utilization. On the other hand, LNG Canada and Coral FLNG differ from existing projects as they are undergoing new commercial operation ramp-ups and volume expansions, respectively.

KOGAS participates in diverse LNG and E&P projects, holding a 15% stake in GLNG, 10% in Prelude, 5% in LNG Canada, 10% in Mozambique Area 4, and 8.5% in Myanmar A-1/A-3.

Previously, sluggish operations of some projects including GLNG and Prelude shook total overseas earnings, but the firm's business portfolio is expanding now with the addition of profits from LNG Canada and Coral FLNG. **Despite volatility from individual projects, multiple production assets are generating profits simultaneously, which should raise the baseline earnings floor for the overseas business compared to the past.**

Major overseas project OP



Source: Yuanta Securities

KOGAS: major global projects

Project	Stake	Key variables	Current assessment	Region
LNG Canada	5%	LNG price, local gas/liquefaction/transport costs	New growth	Canada
Coral FLNG	10%	Production volume, LNG selling price	New growth	Mozambique
GLNG	15%	LNG price, third-party gas procurement cost	Recovery	Australia
Prelude	10%	Utilization, cargo, product price	High volatility	Australia
Myanmar	8.5%	Production volume, gas sales	Stable	Myanmar
Zubair	23.8%	Crude oil output, renumeration fee	Output-dependent	Iraq

Source: company data, Yuanta Securities

Overseas upside yet to be reflected

Our current earnings estimate is based on projects that have already entered commercial production. We did not separately factor in the value of follow-up development projects into our current earnings estimates or target price.

For LNG Canada Phase 2, follow-up procedures related to power supply infrastructure and other requirements are ongoing, but the total investment size and final development timetable has yet to be finalized. For Mozambique, the potential to develop Rovuma LNG remains alongside the existing Coral FLNG. If the scale of capex and production timelines becomes more concrete, these projects could provide additional upside for further overseas growth beyond 2030.

3. Earnings have recovered, now time to focus on monetization of receivables

Since 2021, the biggest cause of KOGAS's valuation discount has been uncollected receivables. As city-gas tariffs failed to fully keep pace with surging LNG input costs, city-gas uncollected receivables rose from W1.8tn in 2021 to W14.0tn in 2024. **As of end-2Q26, city-gas receivables still stood at W13.5tn, with total raw-material cost receivables (unrecovered gas procurement costs) reaching W14.2tn. In particular, raw-material cost receivables turned upward again from W13.7tn in 1Q26 to W14.2tn in 2Q26.**

The key point is that a recovery in OP does not immediately translate into the collection of receivables. Even if gas procurement costs are not fully reflected in end-user tariffs, recognizing uncollected balances as settlement assets partially shields OP. On the other hand, because LNG purchase costs are already disbursed in cash, debt burdens and financing expenses persist as uncollected receivables accumulate. To reduce previous uncollected balances, not only current-period fuel costs but also past uncollected sums need to be retrieved.

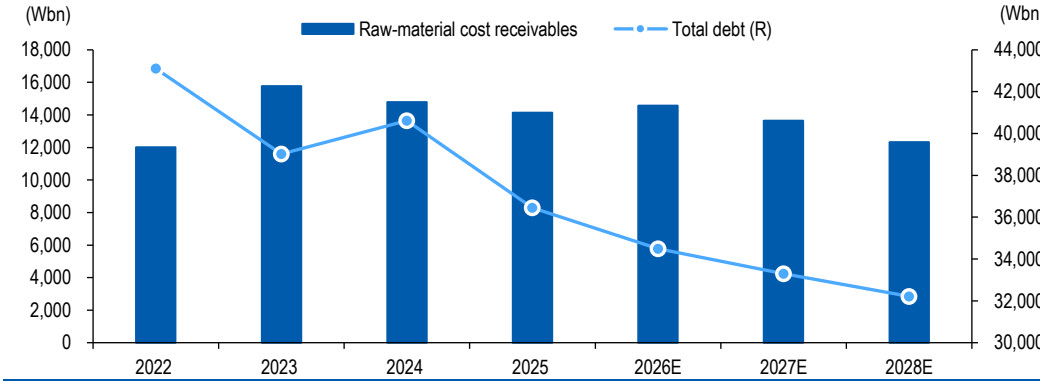
Therefore, the benefits of retrieving receivables appear first in an improved financial position rather than OP.

Reduced receivables → improved operating cash flow → reduced debt → decrease in interest expense → expanded dividend capacity → narrowing P/B discount

Despite recovering profit, pressure from receivables will likely persist in 2026, and **we expect moderate net cash collections to begin only after 2027**. If receivables decrease across quarters, the firm's financial position should improve more quickly than expected. **Total debt decreased from W4.06tn in 2024 to W36.5tn in 2025, and is expected to fall further to W34.5tn in 2026, W33.3tn in 2027, and W32.2tn in 2028.** However, as over W14tn in uncollected receivables is outstanding, it is hard to say that current debt reductions alone signal complete financial normalization. As receivable collections continue going forward, debt reductions and financing cost improvements will likely accelerate, leading to simultaneous improvements in pretax profit and dividend capacity.

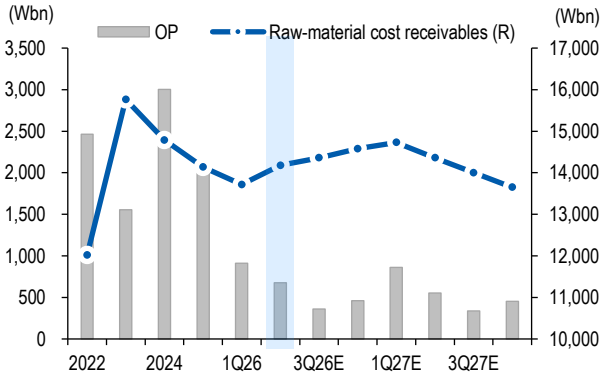
Ultimately, while overseas businesses boost EPS, the cash monetization of receivables drives valuation multiples higher. Following the normalization of earnings, the next re-rating will likely hinge on whether uncollected receivables and debt balances decline in tandem rather than OP.

Raw-material cost receivables and total debt forecast



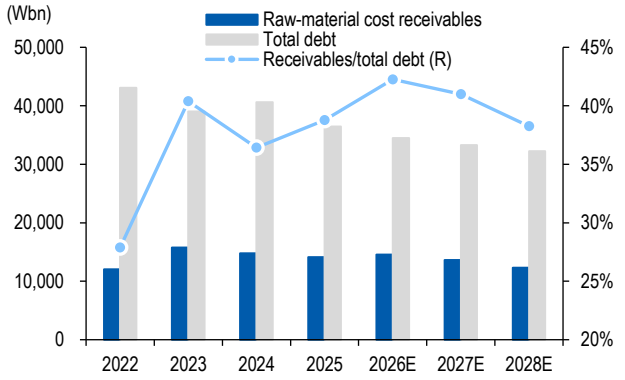
Source: Yuanta Securities

OP vs raw-material cost receivables



Source: Yuanta Securities

Raw-material cost receivables vs total debt



Source: Yuanta Securities

12th Basic Plan: reassessing rate of decline in LNG demand for power generation

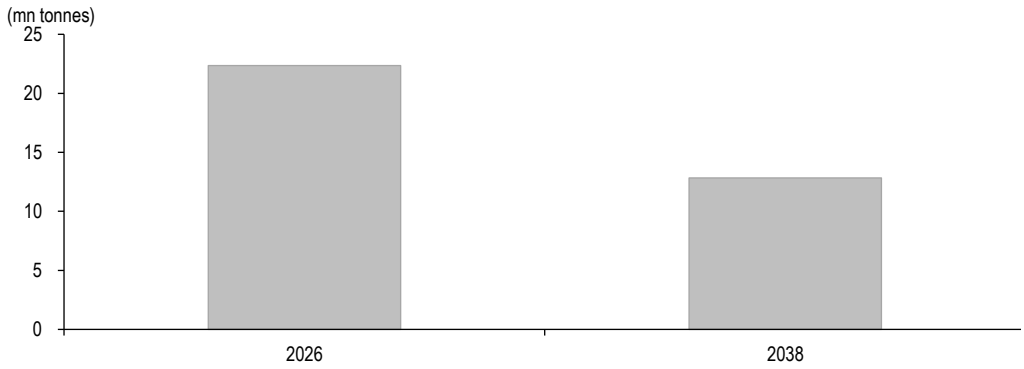
The long-term outlook for the domestic wholesale business faces a headwind from declining LNG demand for power generation. **The 16th Long-term Natural Gas Supply and Demand Plan projects that power generation natural gas demand will fall from 22.35mn tonnes in 2026 to 12.84mn in 2038, based on the power generation mix outlined in the 11th Basic Plan.**

However, this forecast **does not include new power demand currently being incorporated into the 12th Basic Plan. When factoring in AI data centers and semiconductor clusters,** the forecast for peak electricity demand in 2040 has been revised up by 26.6-26.8GW. **If LNG-fired generation is assigned a larger role during the finalization of the power generation mix, the decline in gas demand for power generation could be more gradual than currently projected.**

The investment point does not rest on the assumption that LNG demand for power generation will return to growth, but the possibility that the steep decline trajectory previously modeled may soften. We reflected the decrease in sales volume of existing power generation LNG in our current earnings estimate, **and we believe the upward revision to the gas supply plan following the finalization of the 12th Basic Plan will provide additional upside.**

However, higher demand for power generation LNG does not entirely translate into direct sales volume for KOGAS. Given the expansion of direct imports and private LNG terminals, actual benefits could be limited. Therefore, we view the 12th Basic Plan as providing option value by potentially easing concerns over the long-term decline in domestic demand, rather than as a short-term EPS driver.

Power generation natural gas demand outlook



Note: based on the 16th Long-term Natural Gas Supply and Demand Plan
Source: Yuanta Securities

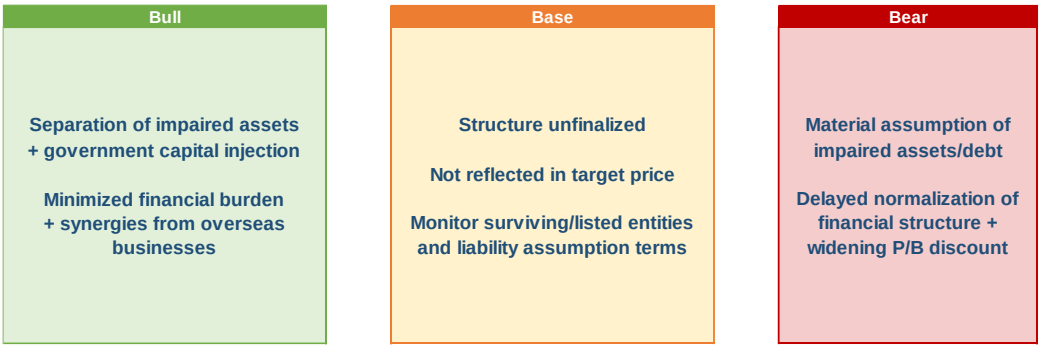
Energy Resources Corporation: looking at burden allocation ahead of synergies

The government has proposed integrating KOGAS and Korea National Oil Corporation (KNOC) into a tentative single entity named the Energy Resources Corporation. The purpose is to establish an integrated national energy security strategy encompassing oil and gas, and strengthen overseas resource development capabilities and global bargaining power.

However, from a shareholder value perspective, resolving KNOC's impaired balance sheet takes precedence over business synergies. KNOC remains in complete capital impairment. If KOGAS, which already has uncollected receivables and a heavy debt burden, directly absorbs non-performing assets and labilities, the normalization of its financial position will be delayed.

Therefore, we do not reflect potential integration synergies in our earnings estimates and target price. Key variables to confirm going forward include which entity will survive the merger and remain listed, whether impaired assets will be separated, the extent to which associated liabilities will be assumed, the scope of government capital support, and the rights of existing KOGAS shareholders.

Scenario for Energy Resources Corporation integration



Source: Yuanta Securities

4. Target price W48,000; quality of earnings improves, financial normalization pending

We initiate coverage on KOGAS **at BUY and a target price of W48,000, which we derived by applying a target P/B of 0.33x to 2027E BPS of W146,559**. The 0.33x multiple positively assesses the expanding profit contribution of overseas businesses, while also reflecting W14tn in uncollected raw-material cost receivables and uncertainties over the firm's integration into Energy Resources Corporation.

For a re-rating to above 0.5x, confirmation of financial structure improvements will be more important than earnings growth. In particular, multi-quarter net declines in city-gas uncollected receivables and following reductions in total debt and financing expenses must be confirmed.

On the overseas front, sustaining an annual OP of over W600bn centered on LNG Canada and Coral FLNG would boost confidence in normalized earnings. Moreover, if KNOC's non-performing assets and debt are not transferred to existing KOGAs shareholders during the Energy Resources Corporation integration, a further narrowing of the valuation discount is possible.

The final conditions for a re-rating are as follows:

1) Confirmation of the sustainability of overseas business earnings

2) Net collection of receivables and reductions in debt/financing costs

3) Minimal financial burden from the integration into Energy Resources Corporation

KOGAS: target price calculation

	Value	Note
2027E BPS (won)	146,559	(a) 2027E BPS
Target P/B (x)	0.33	(b) Past 5-year average P/B
Value per share (won)	48,365	(c)=(a)*(b)
Target price (won)	**48,000**	
Current price (won)	36,150	Closing price on Sep 9, 2026
Upside (%)	**33**	

Source: Yuanta Securities

KOGAS: valuation table **(Wbn, JPYbn, $mn)**

		KOGAS	KEPCO	POSCO International	Korea District Heating	Samchully	HK&CHINA GAS	TOKYO GAS	INDRAPRASTHA GAS
Market cap		**3,337**	21,666	10,204	866	488	136,310	2,095	2,269
Sales	2025	**35,727**	97,429	32,374	3,998	5,275	54,326	2,835	1,831
	2026E	**37,782**	97,700	34,715	3,922	5,436	56,075	3,040	1,979
	2027E	**40,455**	98,963	37,323	3,938	5,486	56,794	3,022	2,083
	2028E	**40,007**	100,322	39,838	3,881	5,588	57,925	3,028	2,271
OP	2025	**2,101**	13,491	1,165	530	160	8,336	198	150
	2026E	**2,404**	6,650	1,453	511	184	8,225	174	162
	2027E	**2,201**	6,942	1,598	425	179	8,383	188	200
	2028E	**2,374**	10,424	1,697	409	186	8,599	196	221
OPM (%)	2025	**5.9%**	13.8%	3.6%	13.2%	3.0%	15.3%	7.0%	8.2%
	2026E	**6.4%**	6.8%	4.2%	13.0%	3.4%	14.7%	5.7%	8.2%
	2027E	**5.4%**	7.0%	4.3%	10.8%	3.3%	14.8%	6.2%	9.6%
	2028E	**5.9%**	10.4%	4.3%	10.5%	3.3%	14.8%	6.5%	9.7%
Net profit, CI	2025	**133**	8,545	614	339	112	5,688	227	176
	2026E	**1,197**	3,647	924	326	155	6,287	127	178
	2027E	**950**	3,880	1,110	273	145	6,433	138	199
	2028E	**1,090**	5,598	1,258	254	148	6,656	142	220
P/E (x)	2025	**27.3**	3.6	14.2	3.3	4.7	21.3	11.3	13.2
	2026E	**2.8**	5.9	11.0	2.7	3.1	21.7	16.4	12.8
	2027E	**3.5**	5.6	9.2	3.2	3.4	21.2	15.1	11.4
	2028E	**3.1**	3.9	8.1	3.4	3.3	20.5	14.8	10.3
P/B (x)	2025	**0.3**	0.6	1.3	0.5	0.3	2.3	1.4	1.8
	2026E	**0.3**	0.4	1.3	0.4	0.3	2.3	1.2	1.8
	2027E	**0.2**	0.4	1.2	0.3	0.2	2.3	1.1	1.7
	2028E	**0.2**	0.3	1.1	0.3	0.2	2.3	1.1	1.5

Note: CI = controlling interest, market cap as of Sep 9, 2026
Source: Bloomberg, Yuanta Securities

KOGAS (036460 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**38,389**	**35,727**	**37,782**	**40,455**	**40,007**
Cost of sales	34,976	33,167	34,899	37,699	37,088
Gross profit	3,413	2,560	2,883	2,756	2,920
SG&A	409	459	479	555	546
Operating profit	**3,003**	**2,101**	**2,404**	**2,201**	**2,374**
EBITDA	4,986	4,025	4,271	3,997	4,105
Non-operating profit	-1,366	-1,705	-574	-385	-404
Forex gains	-761	114	415	368	373
Net interest income	-1,416	-1,178	-1,055	-910	-714
Equity-method gains	137	98	284	250	230
Other	674	-739	-218	-93	-293
Net prof before income tax	1,638	396	1,830	1,816	1,970
Income tax	489	264	641	872	887
Net profit from continuing ops	1,149	132	1,190	944	1,084
Net profit from discontinued ops	0	0	0	0	0
Net profit	1,149	132	1,190	944	1,084
NP for controlling interest	**1,147**	**133**	**1,197**	**950**	**1,090**
Total comprehensive income	1,201	105	1,162	917	1,056
Total comprehensive income, CI	1,213	106	1,165	920	1,059

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**16,969**	**13,634**	**15,227**	**18,344**	**21,202**
Cash & cash equivalents	929	1,147	1,992	4,175	7,189
Accounts receivables & other	6,954	6,086	6,467	6,925	6,848
Inventory	4,605	3,346	3,538	3,788	3,747
Non-current assets	40,701	39,993	39,815	38,141	36,189
Tangible assets	23,008	22,834	22,378	21,785	21,249
Investment in affiliates	1,817	1,558	1,648	1,764	1,745
Other investment assets	755	710	750	803	794
Total assets	**57,670**	**53,628**	**55,042**	**56,486**	**57,391**
Current liabilities	21,267	17,237	17,463	17,756	17,707
Accounts payable & other	2,857	2,691	2,846	3,047	3,013
ST financial liabilities	10,081	7,078	7,078	7,078	7,078
Liquid LT liabilities	4,929	5,149	5,149	5,149	5,149
Non-current liabilities	25,577	25,592	25,749	25,955	25,920
LT financial liabilities	331	348	348	348	348
Debentures	21,055	21,413	21,413	21,413	21,413
Total liabilities	**46,843**	**42,829**	**43,212**	**43,711**	**43,627**
Equity, controlling interest	10,829	10,802	11,841	12,791	13,786
Paid-in capital	462	462	462	462	462
Capital surplus	1,355	1,355	1,355	1,355	1,355
Retained earnings	7,780	7,776	8,872	9,647	10,545
Equity, non-controlling interest	-3	-3	-10	-16	-22
Total equity	**10,826**	**10,799**	**11,830**	**12,775**	**13,764**
Net debt	**39,212**	**35,156**	**32,350**	**28,949**	**24,861**
Total debt	40,607	36,455	34,500	33,291	32,216

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,630**	**6,539**	**4,003**	**3,824**	**4,438**
Net profit	1,149	132	1,190	944	1,084
Depreciation & amortization	1,864	1,803	1,755	1,693	1,637
Forex gains	311	73	-415	-368	-373
Affiliate investment gains	0	0	-284	-250	-230
Increase in net working cap	-479	3,588	1,101	972	1,623
Other	785	943	656	833	699
Investing cash flow	**-1,747**	**-2,256**	**-3,246**	**-3,119**	**-2,943**
Investment	38	-21	-130	-169	28
Increase in tangible assets	-1,666	-1,988	-1,300	-1,100	-1,100
Decrease in tangible assets	6	4	0	0	0
Other	-124	-251	-1,816	-1,850	-1,871
Financing cash flow	**-1,837**	**-4,056**	**27**	**36**	**-29**
ST financial liabilities	-316	-2,957	17	22	-4
Debenture/LT financial liabilities	60	-1,195	0	0	0
Equity	-664	0	0	0	0
Cash dividend	-26	-127	-101	-175	-192
Other cash flow	-891	223	111	189	166
Consolidation adj and other	103	-9	60	1,443	1,548
Increase in cash & equivalents	**149**	**218**	**844**	**2,184**	**3,014**
Beginning cash & equivalents	781	929	1,147	1,992	4,175
Ending cash & equivalents	929	1,147	1,992	4,175	7,189
NOPLAT	3,003	2,101	**2,404**	**2,201**	**2,374**
FCF	**1,964**	**4,552**	**2,703**	**2,724**	**3,338**

Valuation

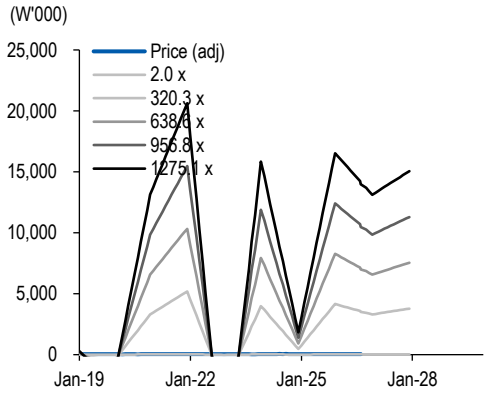
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	12,422	1,441	12,962	10,290	11,806
BPS (won)	124,079	123,774	135,670	146,559	157,963
EBITDA/shr (won)	54,012	43,603	46,265	43,298	44,473
SPS (won)	415,854	387,024	409,280	438,234	433,388
DPS (won)	1,455	1,154	2,000	2,200	2,300
P/E (x)	**3.0**	**27.2**	**2.8**	**3.5**	**3.1**
P/B (x)	**0.3**	**0.3**	**0.3**	**0.2**	**0.2**
EV/EBITDA (x)	**8.5**	**9.6**	**8.4**	**8.1**	**6.9**
P/S (x)	**0.1**	**0.1**	**0.1**	**0.1**	**0.1**

Key financial data

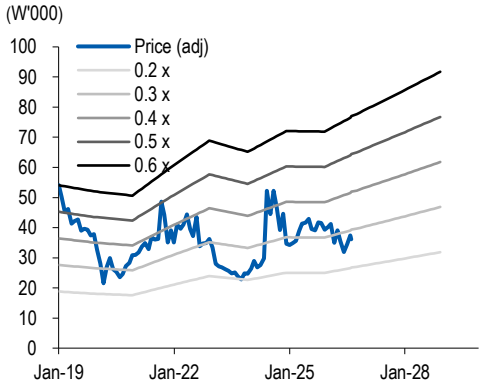
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-13.8**	**-6.9**	**5.8**	**7.1**	**-1.1**
Operating profit (%YoY)	**93.3**	**-30.0**	**14.4**	**-8.4**	**7.9**
Net profit, CI (%YoY)	**TTB**	**-88.4**	**799.6**	**-20.6**	**14.7**
Gross margin (%)	8.9	7.2	7.6	6.8	7.3
Operating margin (%)	**7.8**	**5.9**	**6.4**	**5.4**	**5.9**
Net margin, CI (%)	3.0	0.4	3.2	2.3	2.7
EBITDA margin (%)	13.0	11.3	11.3	9.9	10.3
ROIC (%)	5.8	2.0	5.1	4.0	3.9
ROA (%)	2.0	0.2	2.2	1.7	1.9
ROE (%)	**11.2**	**1.2**	**10.6**	**7.7**	**8.2**
Debt-to-equity (%)	432.7	396.6	365.3	342.2	317.0
Net debt-to-equity (%)	362.1	325.4	273.2	226.3	180.3
OP/financing cost (x)	2.0	1.7	2.1	2.0	2.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

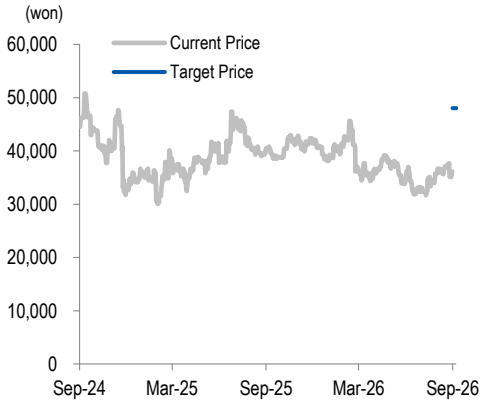
P/E band chart



P/B band chart



KOGAS (036460 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/11	BUY	48,000	1 yr		
2026/09/10	BUY	48,000	1 yr		
2026/04/08	After 1yr		1 yr		
2025/04/08	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.7
HOLD	3.3
SELL	0
Total	100.0

Note: As of Sep 10, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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